

*Oil and gas exploration company take part in new oil and gas exploration .This field is very risky and costly .Government issue block through binding process for exploration .When the oil or gas is explore in this block the company has right development that field and has start the production . Agreement is take between government and the company for profit sharing ,tax and royalty*

*Element to consider*

*1) Total Reserve of oil of gas*

*2) % of oil of gas that can remove from the field*

*3) Crude oil price*

*4) \$ index*

*5) Tax, Royalty etc*

*Refining and Petrochemical*